



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

ECONOMICS

PAPER 1 Multiple Choice

6073/1

NOVEMBER 2018 SESSION

1 hour 15 minutes

Additional materials:

Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 15 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet provided.

Read very carefully the instructions on the answer sheet.

Calculators may be used.

INFORMATION FOR CANDIDATES

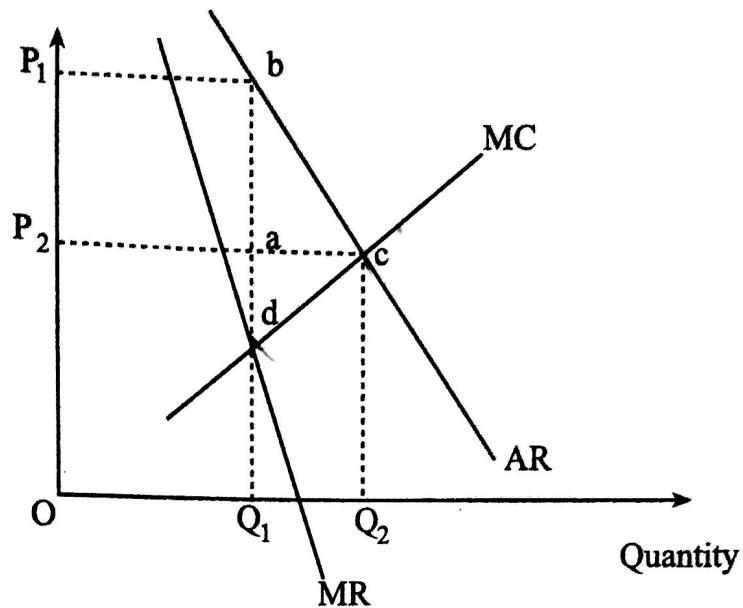
Each correct answer will score one mark. A mark will **not** be deducted for a wrong answer. Any rough working should be done in this booklet.

This question paper consists of 16 printed pages.

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- 1 The basic economic problem is that
- A resources are limited in supply.
 - B there is a problem of poverty.
 - C there are shortages due to drought.
 - D there is the existence of opportunity cost. ✓
- 2 In a free market economy, the question of 'how to produce' is answered through
- A government directives. ✓
 - B the use of latest technology. ✓
 - C a combination of capital and labour.
 - D the least cost combination of capital and labour.
- 3 The principal-agent principle mainly expresses itself through
- A economic failure.
 - B government failure. ✓
 - C information failure.
 - D market failure.
- 4 In which market structure is X-inefficiency most likely to exist?
- A Monopoly
 - B Monopolistic competition
 - C Oligopoly
 - D Perfect competition ✓
- 5 The efficient equilibrium and the market equilibrium are the same when
- A there is a deadweight loss.
 - B social costs exceed private costs.
 - C quantity demanded equal quantity supplied. ✓
 - D private and social benefits are equal to private and social costs.

- 6 The diagram below shows a competitive market changing to a monopolistic market.



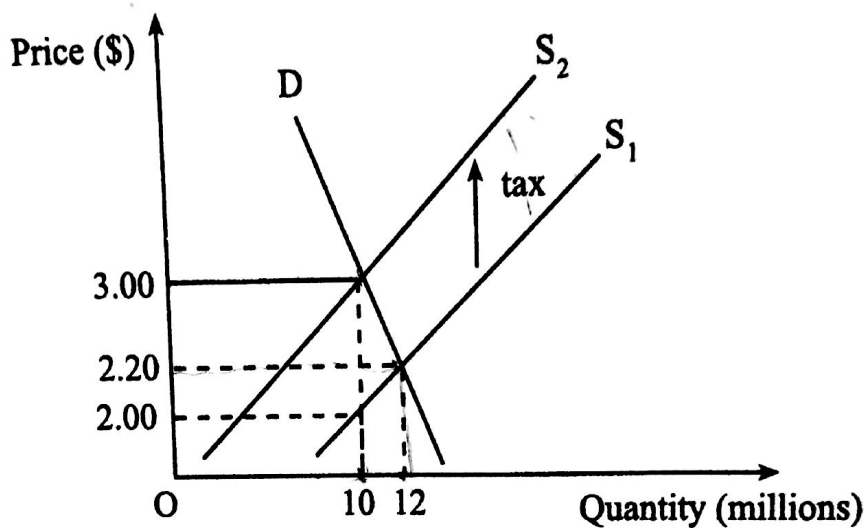
The resulting loss of economic welfare is shown by area

- A acd
 B bcd
 C P_1baP_2
 D P_1bcP_2
- 7 If the price levels doubles in a certain year, what happens to the purchasing power of money?
- A It falls by 50%.
 B It falls by 100%.
 C It rises by 50%.
 D It remains the same.
- 8 Which diagram shows the relationship that exists between tax rate and tax revenue?

- A J-curve.
 B Laffer curve.
 C Lorenz curve.
 D Philips curve.

4.

- 9 The diagram below shows the market for cigarettes. S_1 is the initial supply curve and S_2 is the supply curve after tax.



How much revenue is raised by the government through tax imposition?

- A \$30.0 million
B \$26.4 million
C \$10.0 million
D \$8.0 million

$$\begin{array}{r} 360 \\ -3850 \\ \hline 79 \end{array}$$

- 10 In a closed economy with no government, households spend three quarters of every change in a dollar on consumption.

What is the value of the multiplier?

- A 4
B 1.33
C 0.75
D 0.25

$$\frac{3}{4}$$

\$1

$$\frac{3}{4}$$

$$1 = \frac{3}{4}$$

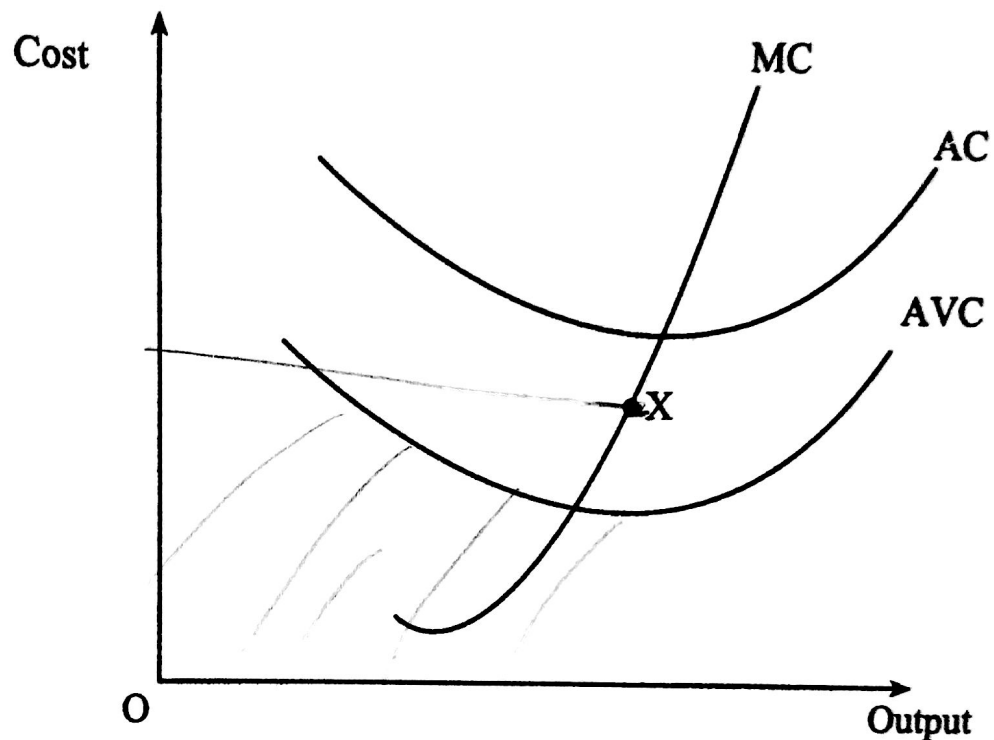
$$C = \$1$$

$$1 = \frac{30575}{4}$$

$$y = 1.75$$

$$C + I$$

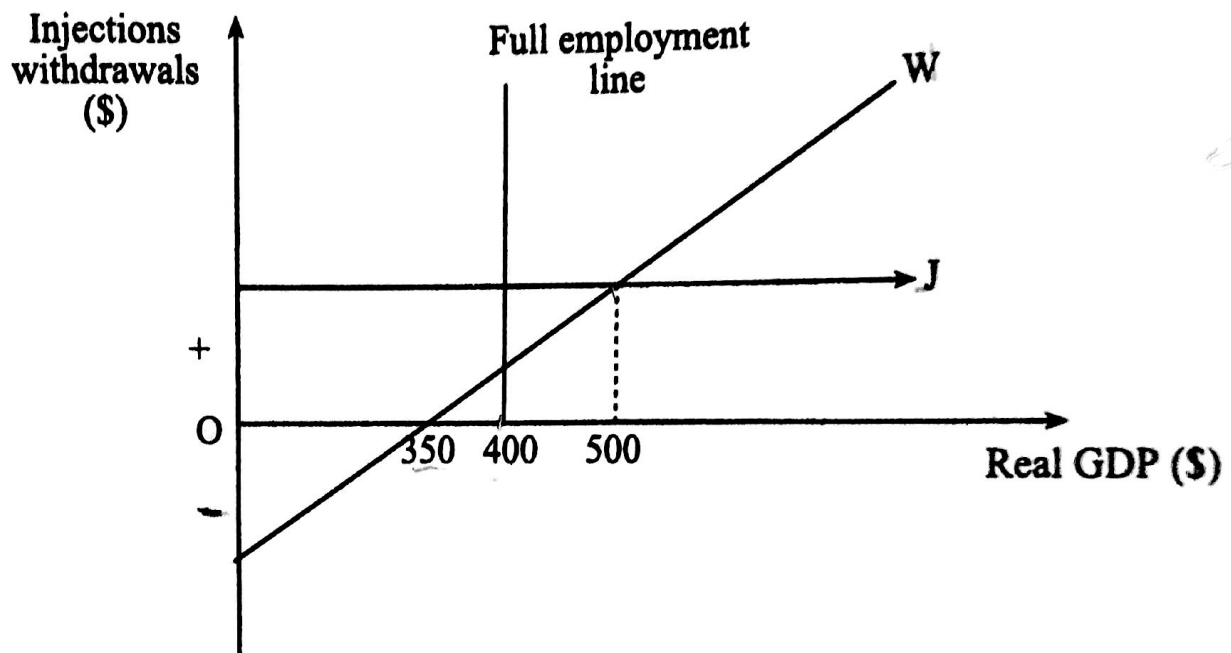
- 11 Study the graph below and answer the question that follows.



When a firm is operating at point X in the short run, it is most likely going to

- A shutdown because it cannot cover its average total cost.
- B continue in business because it is operating at profitable levels.
- C continue in business because it is able to cover its average variable cost.
- D either shut down or continue in business because it is operating at the shutdown point.

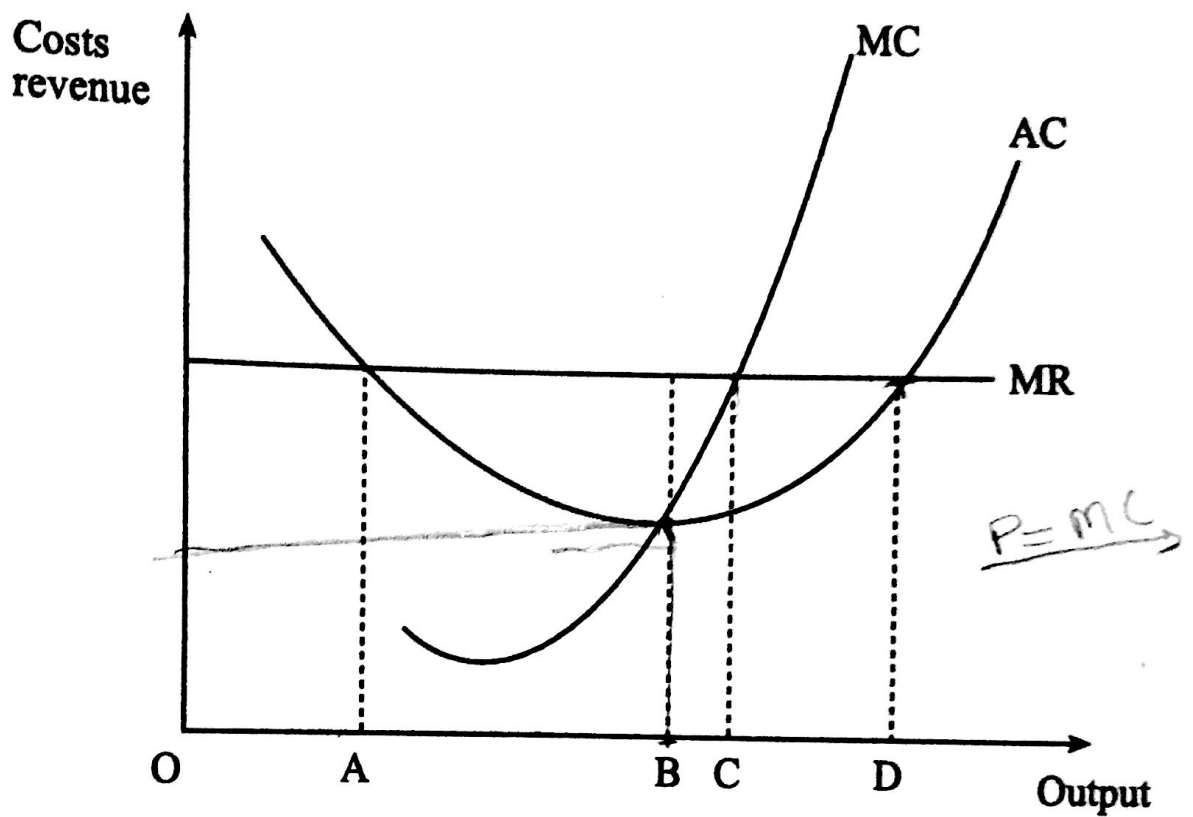
- 12 The diagram below shows leakages and injections in a closed economy that has a marginal propensity to save of 0,2 and a marginal propensity to tax of 0,2.



By how much should injections be reduced to achieve equilibrium at full employment level?

- A \$40
- B \$50
- C \$100
- D \$150

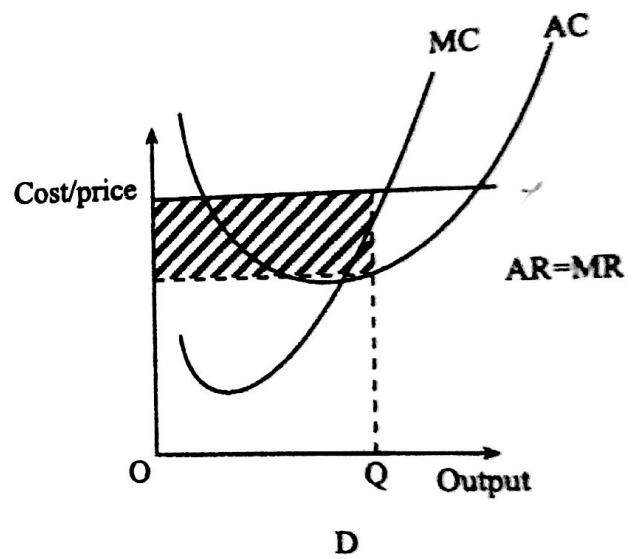
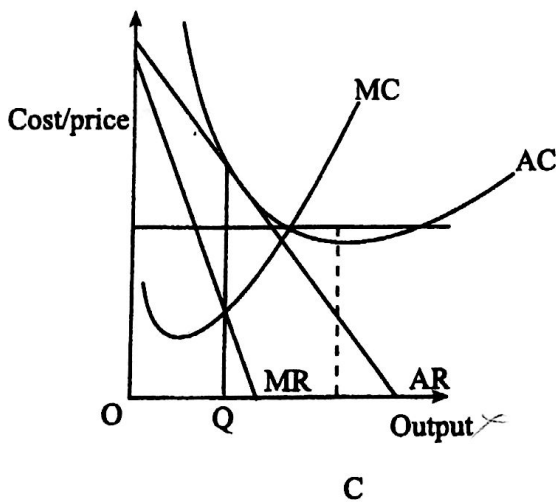
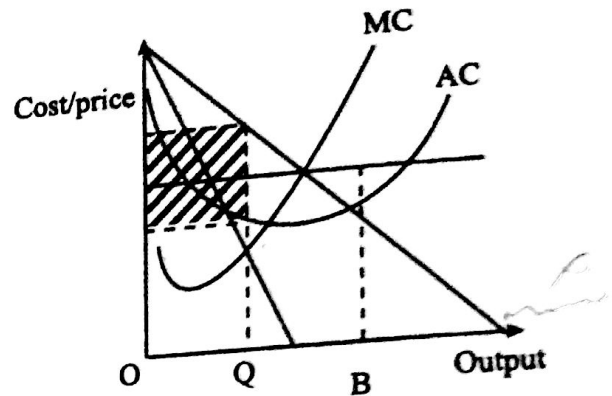
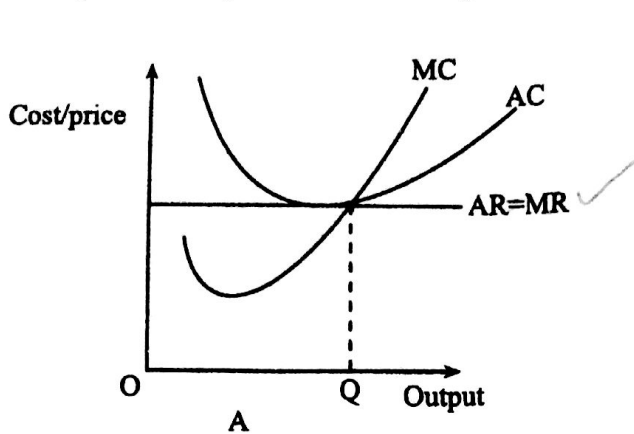
- 13 The diagram below relates to a firm operating in a perfectly competitive industry.



At which level of output A, B, C or D does the firm earn normal profits?

$MC = AC$

- 14 Which of the following diagrams on market structures represents both efficiency and profitability conditions being met?



- 15 The following are advantages of a vertical merger except the ability of firms to

- A diversify.
- B enjoy economies of scale.
- C control the quality of raw materials.
- D limit the sources of raw materials to competitors.

- 16 If Gross Domestic Product (GDP) is more than Gross National Product (GNP), it means

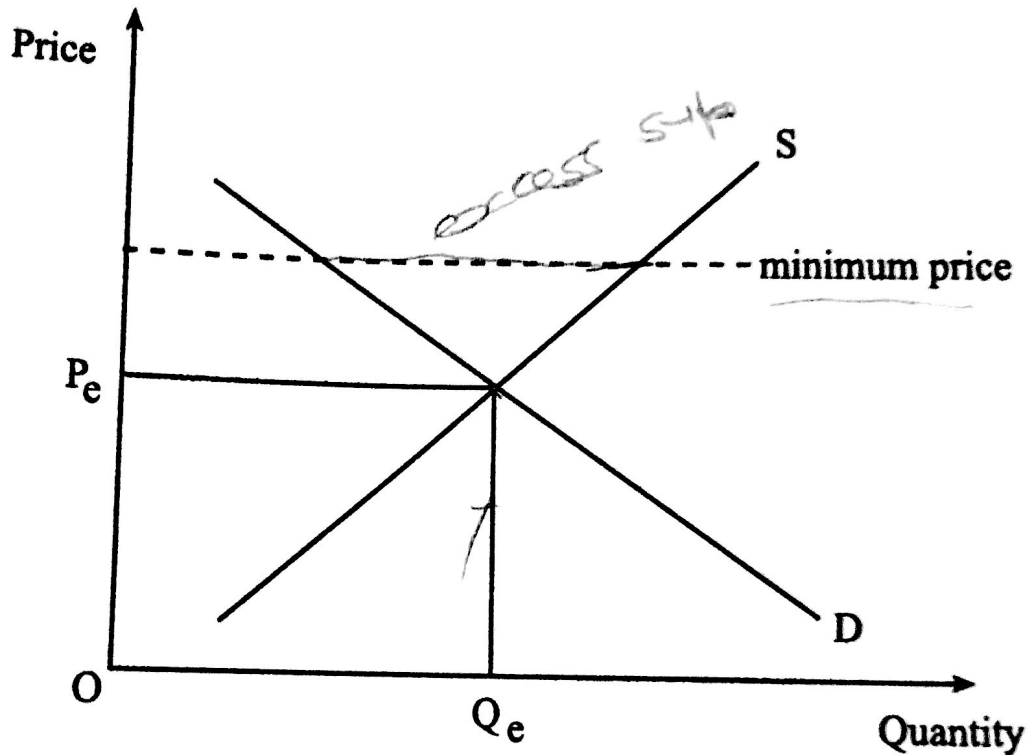
- A investment is high.
- B there is perfect factor mobility.
- C net property income from abroad is negative.
- D domestic interest rate is higher than world interest rate.

- 17 In a market for labour the supply curve of doctors is perfectly inelastic. Their earnings are
- A quasi rent. ✓
 - B all economic rent. ✓
 - C all transfer earnings. ✓
 - D both transfer earnings and economic rent. ✓
- 18 All of the following are functions of International Monetary Fund (IMF) **except**
- A encouragement of the growth of world trade.
 - B provision of assistance to countries in balance of payment difficulties.
 - C provision of financial assistance and rescheduling of debts of developing countries.
 - D provision of loans for infrastructure projects such as road systems, water supply and electric plants. ✓
- 19 Privatisation and deregulation of economic activities in an economy are a form of
- A fiscal policy.
 - B indigenisation policy.
 - C monetary policy.
 - D supply side policy.
- 20 The disadvantage of the land reform programme is that it lead to
- A the creation of employment. ✓
 - B economic empowerment of the country's citizens. ✓
 - C an increase in the output from the farms. ✓
 - D the destruction of vegetation and disturbance of natural ecosystems.
- 21 Cost-push inflation may be caused by
- A an increase in trade union power. ✓
 - B an appreciation of the exchange rate. ✓ ↑ 2 : 5
 - C an increase in labour productivity. ✓
 - D a higher level of consumption. ✓
- 22 In a banking system, the cash reserve ratio is maintained at 10%. One commercial bank received a deposit of \$100. What will be the final increase in deposits within the system?
- A \$1 000
 - B \$190
 - C \$100
 - D \$10



- 23 The argument against privatisation is
- A increased competition. ✗
 - B increased efficiency. ✗
 - C loss of government control over the economy. ✗
 - D wider ownership of economic resources. ✓
- 24 According to the money transmission mechanism, an increase in money supply leads to
- A a fall in interest rate leading to an increase in investment. ✓
 - B an increase in interest rate leading to a fall in income. ✗
 - C a fall in interest rate leading to a fall in investment. ✗
 - D an increase in interest rate leading to an increase in income. ✗
- $M_s = \downarrow i \uparrow$
- 25 The following statements are true about the Loanable Funds Theory except that
- A the demand for loanable funds is the investment curve. ✓
 - B more loanable funds are supplied at a lower rate of interest. ✓
 - C more loanable funds are demanded at a lower rate of interest. ✓
 - D the forces of demand and supply of loanable funds determine the interest rate in the economy. ✓
- 26 The poverty trap in the distribution of income and wealth arises **except** when
- A disposable incomes fall because of fiscal drag. ✗
 - B disposable incomes fall because economic agents pay more tax and lose benefits. ✗
 - C disposable incomes increase because economic agents pay less tax and receive more benefits. ✓
 - D economic agents become worse off when they seek to improve their standards of living by working more hours. ✓
- 27 In many countries, the bulk of the national income is enjoyed by very few people?
- Which of the following relationships in measure of central tendency best illustrates the above situation?
- A Mean is higher than the median. ✗
 - B Median is higher than the mean. ✓
 - C Mode is higher than the mean. ✗
 - D Range is low. ✗
- 25 31

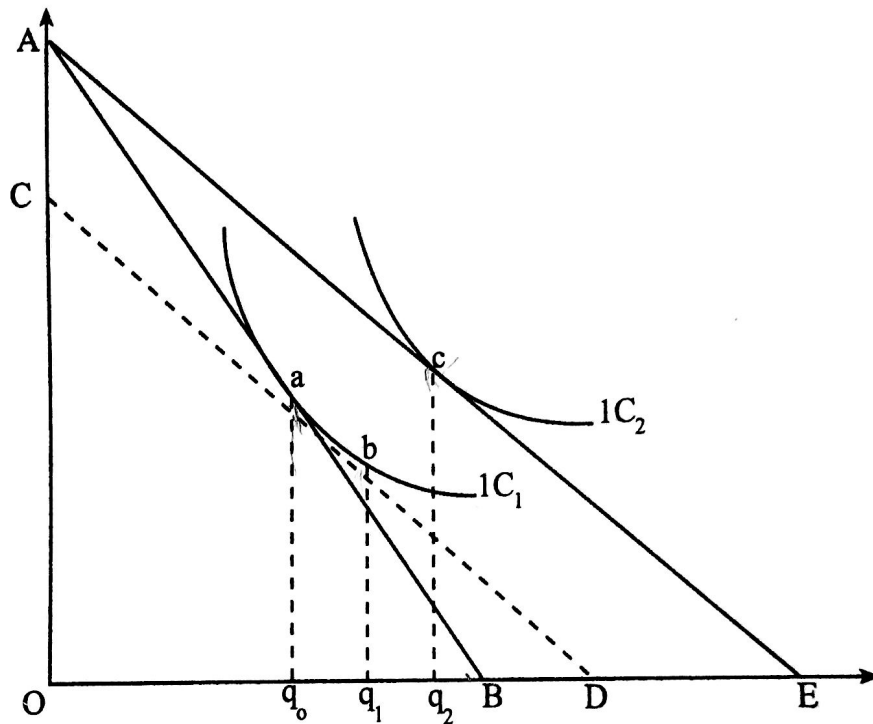
28 Below are the supply and demand curves for agricultural products in an economy.



Minimum prices lead to

- A shortages in the economy. ~~x~~
- B a reduction in output. ~~x~~
- C creation of buffer stocks. ✓
- D creation of black markets. ✓

- 29 In the diagram below $1C_1$ and $1C_2$ are individual indifference curves and AB, CD and AE are budget lines



Which movement represents an income effect of a price change of Good Y?

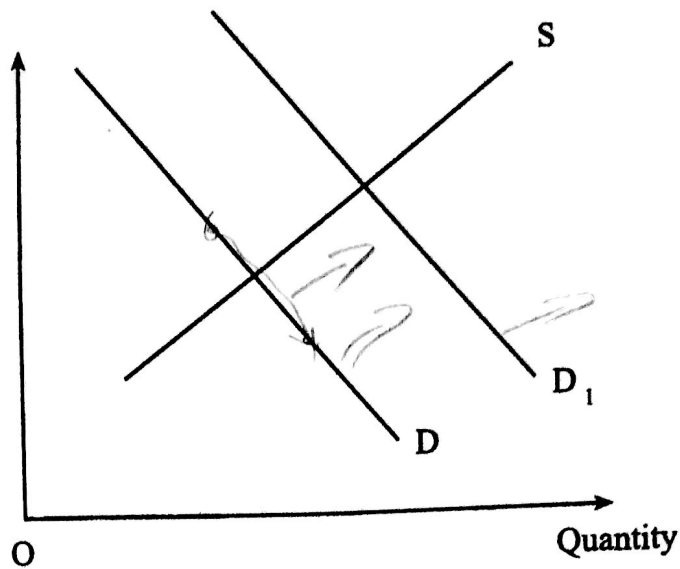
- A a to b.
 B a to c.
 C b to c.
 D a to b to c.
- 30 Which policy reduces economic growth at the same time increasing the level of economic development? A policy to
- A promote export growth.
 B improve good governance.
 C reduce environmental degradation.
 D improve the quality of health care.

- 31 Which of the following indicates an increase in the living standards?
- A Nominal GDP increases by 8%, population increases by 7% and the price level falls by 2%. ✓
 - B Nominal GDP increases by 6%, population increases by 3% and the price level increases by 3%. ✗
 - C Nominal GDP falls by 4% population falls by 2% and the price level increases by 7%. ✗
 - D Nominal GDP increases by 2%, population falls by 5% and the price level increases by 7%. ✗
- 32 Which of the following is a measurable correlation in economics?
- A income and expenditure ✓
 - B income and height
 - C price of bread and weather
 - D price of sugar and price of petrol
- 33 To reduce cyclical unemployment, the government has to increase
- A taxation. ✓ ✗
 - B budget deficit. ✗
 - C a budget surplus. ✗
 - D the balance of payments deficit. ✗

Handwritten scribbles and marks, including a large 'X' and some illegible characters.



- 34 The graph below shows the demand and supply curves of the Zimbabwean Dollar (Z\$) on the foreign exchange market.



What causes the rise in the value of the Zimbabwean Dollar (Z\$)?

- A A rise in the quantity of South African goods.
 B A higher rate of inflation in South Africa than in Botswana.
 C A rise in the demand for Zimbabwean goods by South Africans.
 D A fall in Zimbabwe interest rate relative to the South African Rand.
- 35 Zimbabwe and Botswana produce two goods as shown in the table.

	Maize	Diamonds
Zimbabwe	50	75
Botswana	100	80

From their output, it can be concluded that

- A Botswana has an absolute advantage in the production of both products.
 B Zimbabwe has a comparative advantage in the production of maize and Botswana has a comparative advantage in the production of diamonds.
 C Zimbabwe has a comparative advantage in the production of diamonds and maize hence there is no need for trade between the two countries.
 D Zimbabwe has a comparative advantage in the production of diamonds and Botswana has a comparative advantage in the production of maize.

- 36 The Reserve Bank of Zimbabwe operates a floating exchange rate regime and increases the domestic interest rate. ↑

What effect does this have on the exchange rate of the dollar?

- A It lowers as domestic investment is discouraged.
- B It rises as exporters experience a fall in production costs.
- C It rises as foreigners buy dollars to acquire more assets in the country.
- D It lowers as a rise in interest rates is accompanied by a fall in credit creating and money supply. ↑

- 37 Cross elasticity of demand is given by the formula

- A $E_{xy} = \frac{\text{Percentage change in quantity of Good X}}{\text{Percentage change in price of Good Y}}$
 - B $E_{xy} = \frac{\text{Percentage change in price of Good X}}{\text{Percentage change in quantity demanded of Good Y}}$ ✓
 - C $E_{xy} = \frac{\text{Percentage change in demand of Good X}}{\text{Percentage change in demand of Good Y}}$ ✗
 - D $E_{xy} = \frac{\text{Percentage change in demand of Good X}}{\text{Percentage change in price of Good Y}}$ ✓
- P

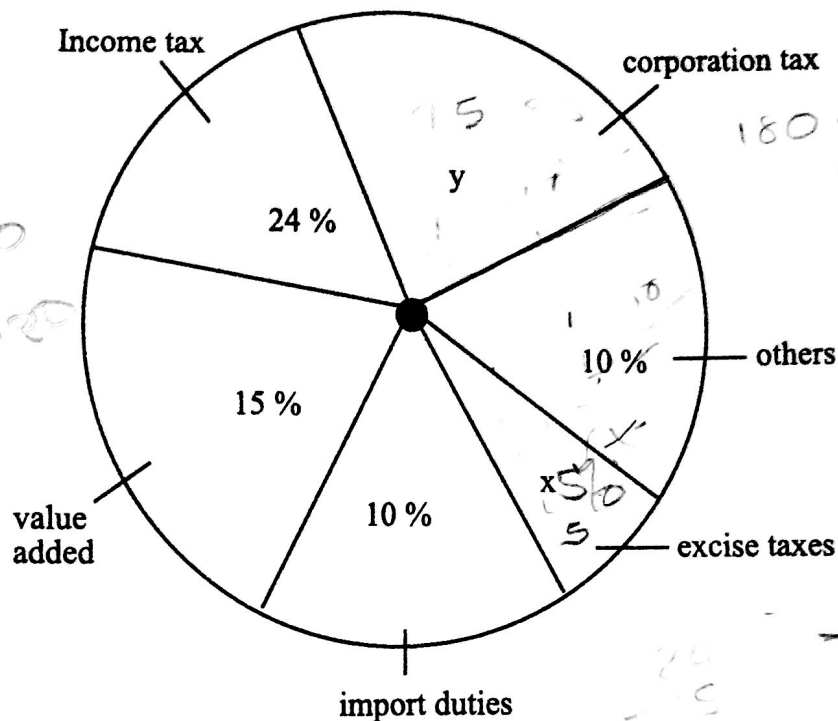
- 38 In an economy with unemployed resources, which of the following causes an increase in output in the short run?

- A A rise in the interest rate. ✗
- B The government budgeting for a deficit.
- C Introduction of price controls in the economy.
- D The government reducing investment incentives to producers.

39

16

Composition of taxes in Zimbabwe are shown in the pie chart below.



If import duty is twice as much as excise tax. What is the percentage contribution of corporation tax in the economy.

- A 5%
- B 10%
- C 20%
- D 36%

40

Crowding out effect suggests that an increase in government borrowing causes a decrease in

- A private sector borrowing. ✓
- B the money supply. ✗
- C the rate of interest. ✓
- D the rate of income tax. ✓